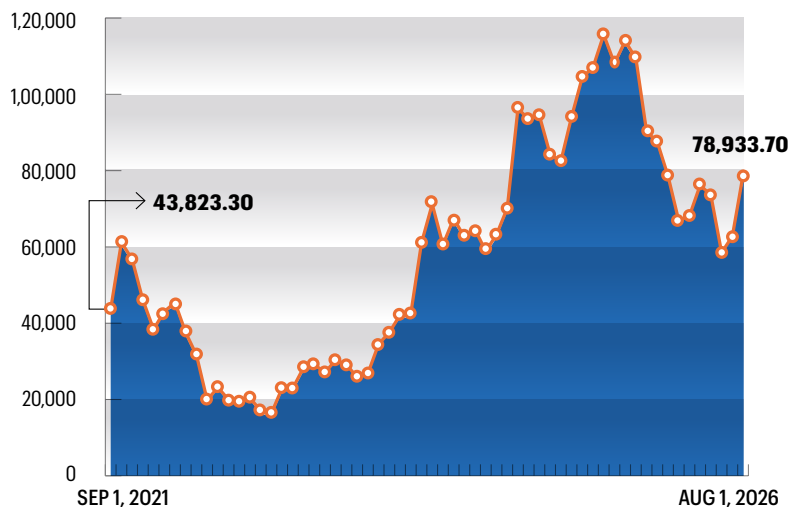


BITCOIN'S BID

- Bitcoin prices have been highly volatile over the years
- Average Futures trade size is nearly 13 times the Spot size



NOTE FIGURES IN \$ SOURCE INVESTING.COM

components of blockchain and similar technologies. Pilot studies on both wholesale and retail CBDC continue. “In a way, RBI’s CBDC is India’s stablecoin. India can explore privately issued stablecoins also. It would need to be subjected to regulation. To begin with, banks can be permitted to issue stablecoins,” says Gandhi. Stablecoins are cryptocurrencies designed to keep a steady value by linking to a reserve asset like the US dollar.

Most major banks continue to stay away from dealing in virtual currencies and only a few smaller ones process such transactions. With concerns over illicit usage of virtual currencies mounting, tax authorities have also tightened

rules for reporting such transactions and brought in stiff taxes to disincentivise crypto trading. The Union Budget 2022-23 introduced a flat 30% tax along with cess and surcharge on any income from transfer of virtual digital assets. Losses from such transactions cannot be set off against any other income or carried forward. It also introduced a 1% TDS on transfer of virtual digital assets on value of the sale.

Shetty of WazirX says more trading now takes place in the derivatives market. “Compared to 2020-21, there has been a decline in volumes around crypto trading in spot markets in India because of the 1% TDS. About 90-95% volume

evaporated from Indian markets after the announcement of the taxation in Union Budget 2022. But the 1% TDS does not impact long-term investors,” he says.

Gupta of Mudrex quotes KoinX data for FY25, which shows that nearly 73% of Indian crypto trading volume has migrated to offshore platforms. There’s also an 18% GST on services provided by cryptocurrency exchanges to investors.

Additionally, there are numerous reporting requirements under direct tax laws, and exchanges have to register with FIU-Ind to comply with anti-money laundering laws.

In July this year, the Central Board of Direct Taxes issued a guidance note on the Crypto-Asset Reporting Framework of the OECD, which will be applicable from 2027.

Sources say there is a thriving cash market for crypto trading as several people invest abroad. There are also cases on investors transferring VDAs overseas and then sending them gift cards in exchange that can be used in India.

Aditya Bhattacharya, Partner, King Stubb & Kasiva, Advocates and Attorneys, says the industry has been asking for relief on 30% tax and 1% TDS. “That has not changed. What has changed is how tightly the net is being pulled. Exchanges now face real penalties if they mess up reporting, starting this April, and by 2027, India will join this global framework called CARF, which means the taxman will start seeing your offshore wallets and foreign trades, too. So, people who thought moving to an international exchange kept them under the radar are going to be in for a surprise.” He says this tax structure is punishing anyone who trades a lot.

Several developers have moved to countries like the UAE and Singapore to build products and run exchanges from there.